

Umeme At Service, Powering Uganda, Empowering The Nation



H1 2024

Results Presentation



UMEME
Powering Uganda

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Uganda Economic Update



CBR lowered to 10% in Aug 24 from 10.25% where it had been since Apr 24



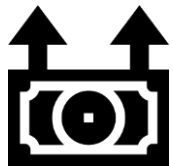
Annual growth averaged 6.7% in HI 2024, projected at 6% to 6.5% for FY24/25 supported by stronger investment in extractive sector and government intervention programs.



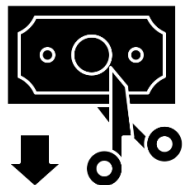
Increasing debt to GBP ratio



Elections Roadmap. Expectations of increased political activity from early 2025 in preparation for the 2026 elections



Inflation rose to 4% in July 24. Inflation is expected to stay below 5% target in FY 24/25



UGX appreciated by 2% in HI 2024 due to improved export receipts and continued monetary support.

Source : Bank of Uganda, Uganda Bureau of Statistics

Electricity Sector Updates



- Karuma Hydro Power Plant COD - 1st July 2024.
- Generation Capacity - 2,048 MW
- Maximum peak demand 1,033 MW (up from 919 MW 2023) and domestic peak demand of 927 MWh.
- West Nile grid connection – August 2024
- 132kV Mirama –Kabale line synchronization – December 2024
- Connections programs funded by the World Bank and Government of Uganda are ongoing
- Second Generation of Power Sector reforms are underway

Investing in the Distribution System

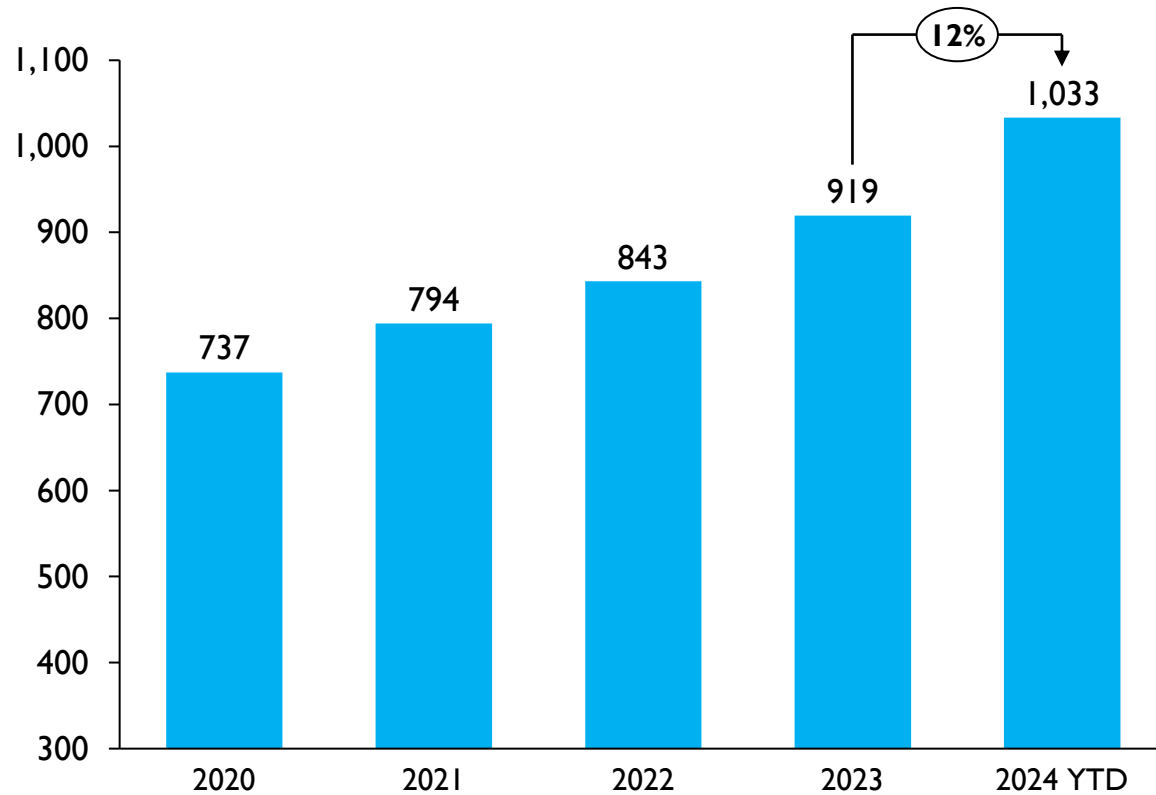


Load growth and quality of supply projects

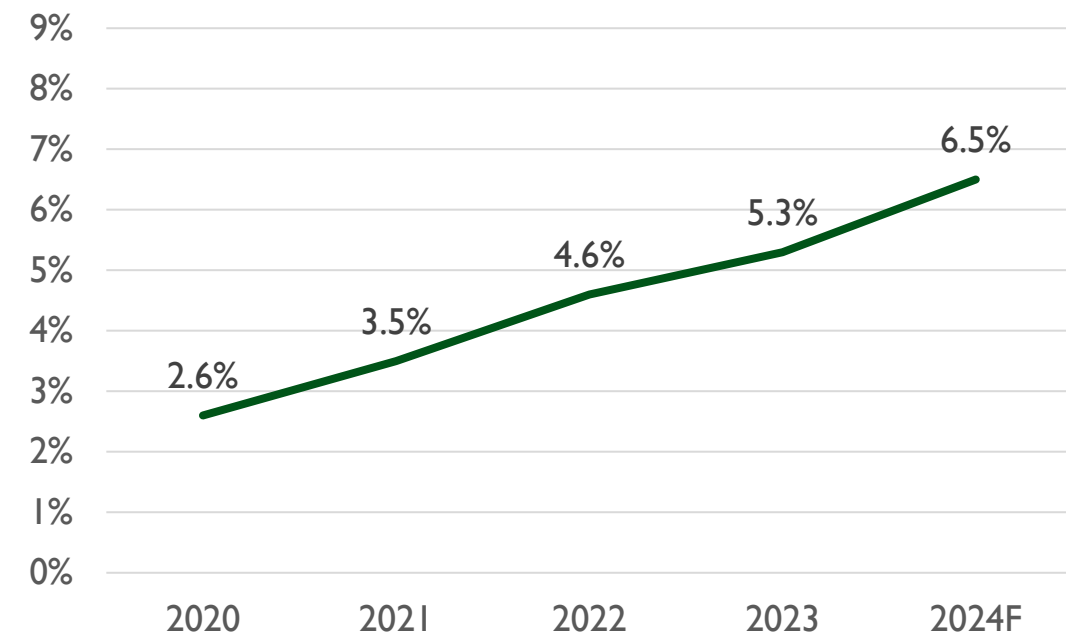
- Matugga switching station
- Hoima Substation Upgrade
- Owen Falls Substation upgrade
- West Bank Jinja switching station
- Dedicated lines to Regional Referral Hospitals
- Mbale City supply reliability project
- Transformer Zone upgrades
- Mukono Substation upgrade

Growing Electricity Demand: Peak Demand

Maximum System Peak Demand

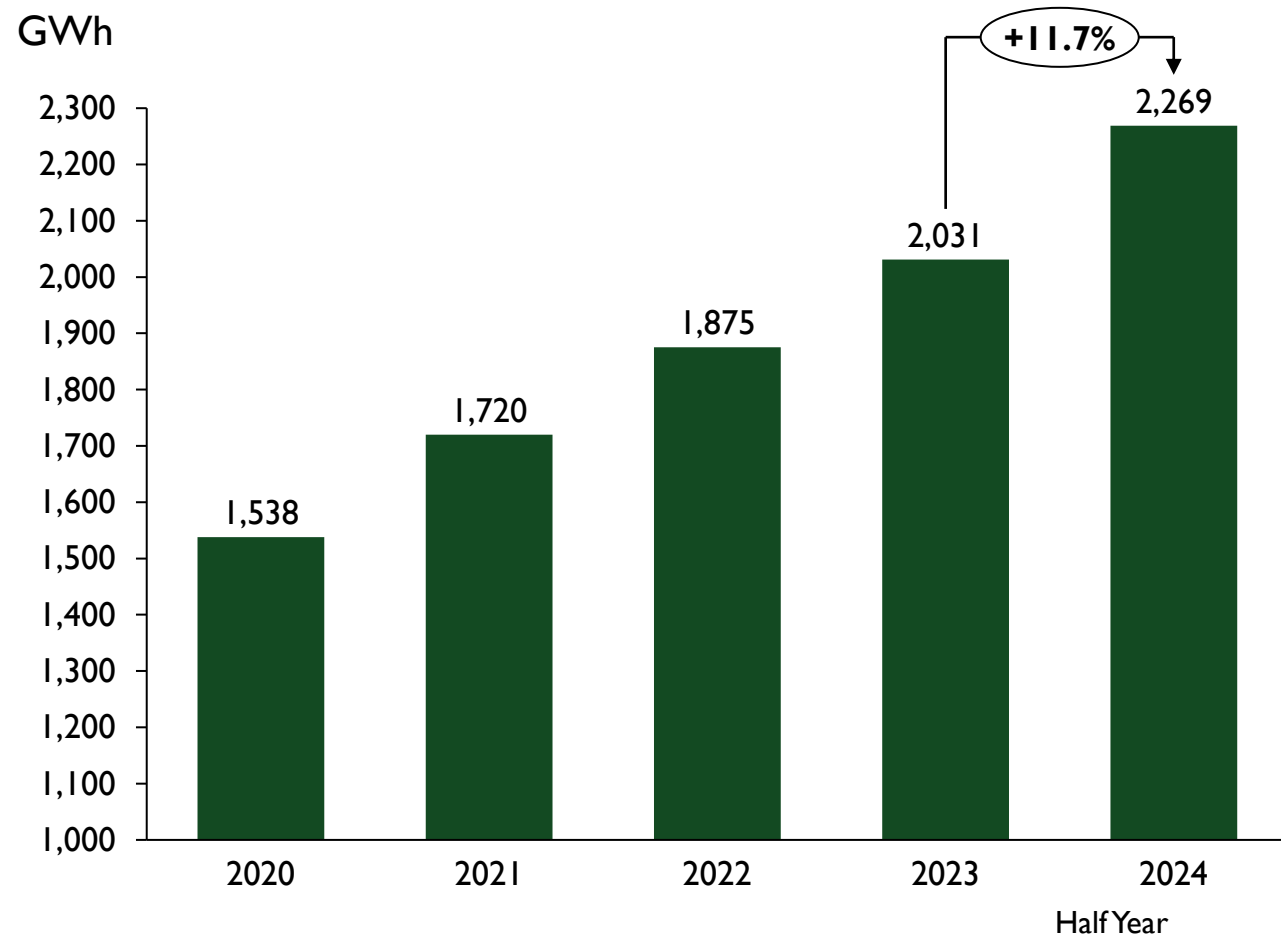


Uganda's Economic Growth Rate



Source –UETCL

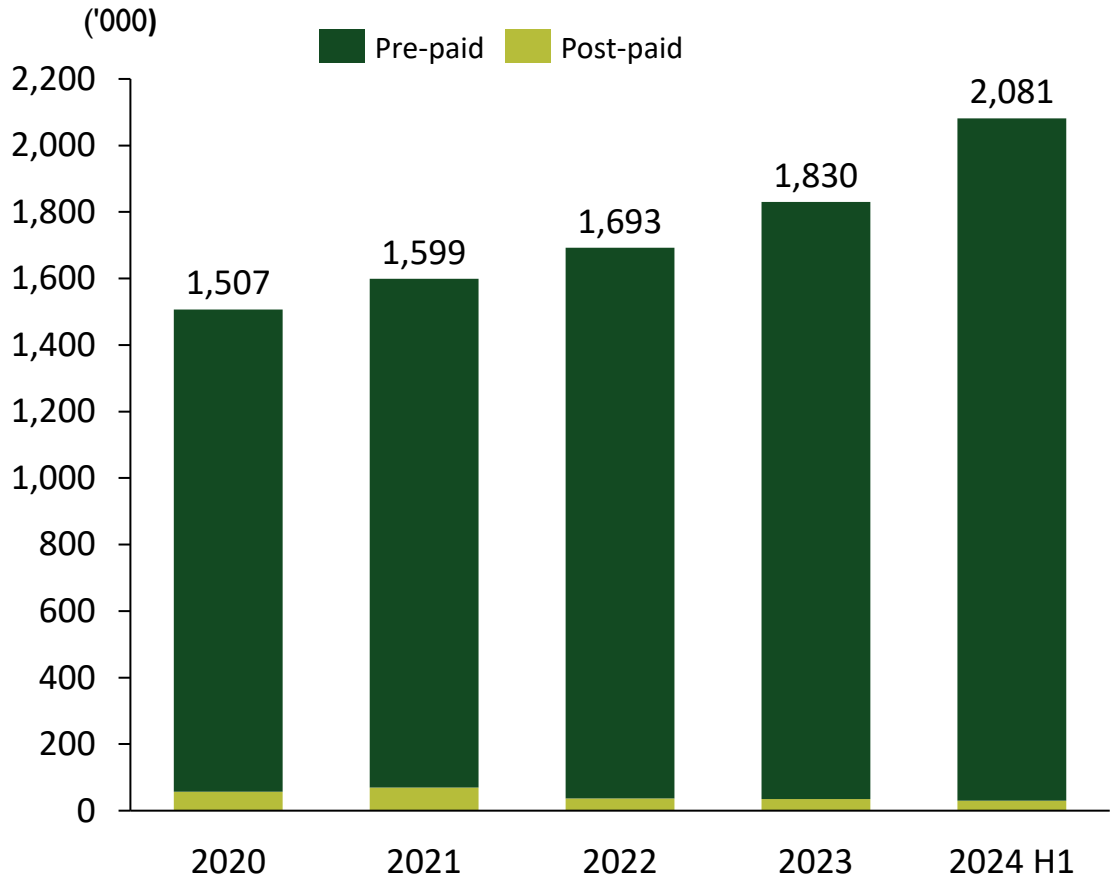
Growing Electricity Demand: +11.7 %



Customer Category	HI 2024 (GW h)	HI 2023 (GW h)	Growth %
Domestic	504.8	431.2	17.1%
Commercial	255.4	223.5	14.3%
Street Lighting	1.6	1.2	33.3%
Industrial – Medium	316.5	288.2	9.8%
Industrial - Large	633.2	567.6	11.6%
Industrial – Extra Large	557.1	519.5	7.2%
Total	2,268.5	2,031.3	11.7%

- The sales growth was driven by new customer connections, improved grid stability, operational efficiencies and the general growth in the economy.

Numbers



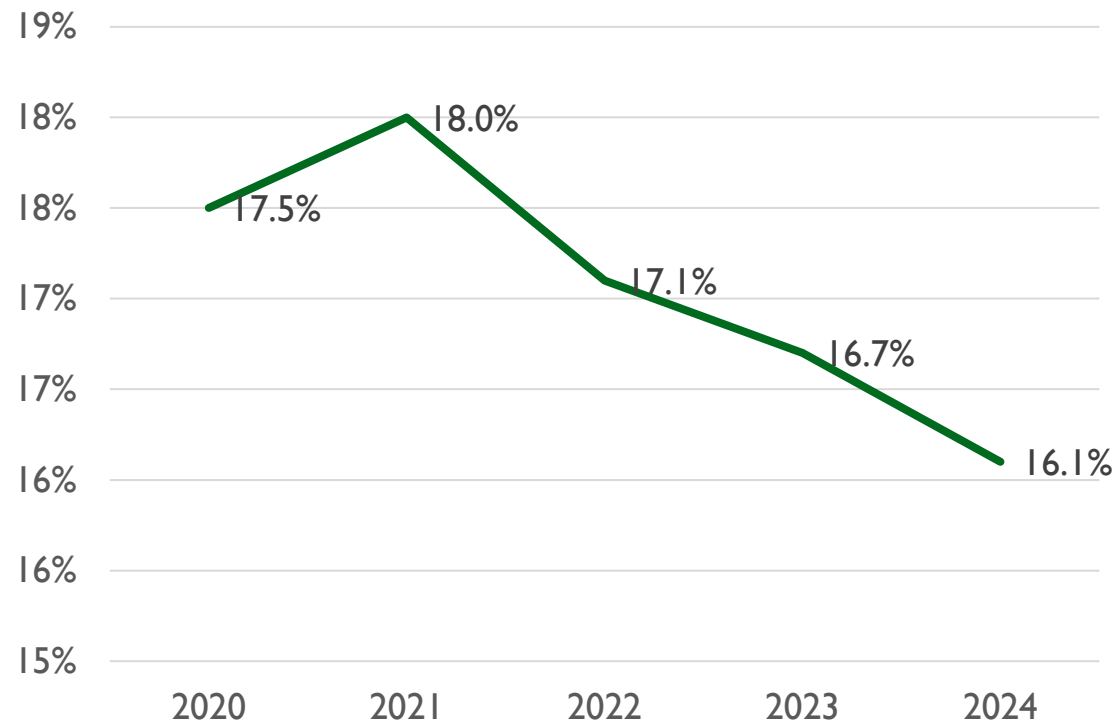
- 139,196 new connections were made in H1 2024
- 99 % of customers are now on prepaid metering accounting for 35% of revenues. 30,000 customers on postpaid billing account for 65% of revenues

CUSTOMER SATISFACTION

	2024	2023/22
NPS	41%	25%
CSI	75%	73%
CES	79%	71%

Distribution Efficiency – Reducing Energy Losses

HalfYear Energy Losses (%)

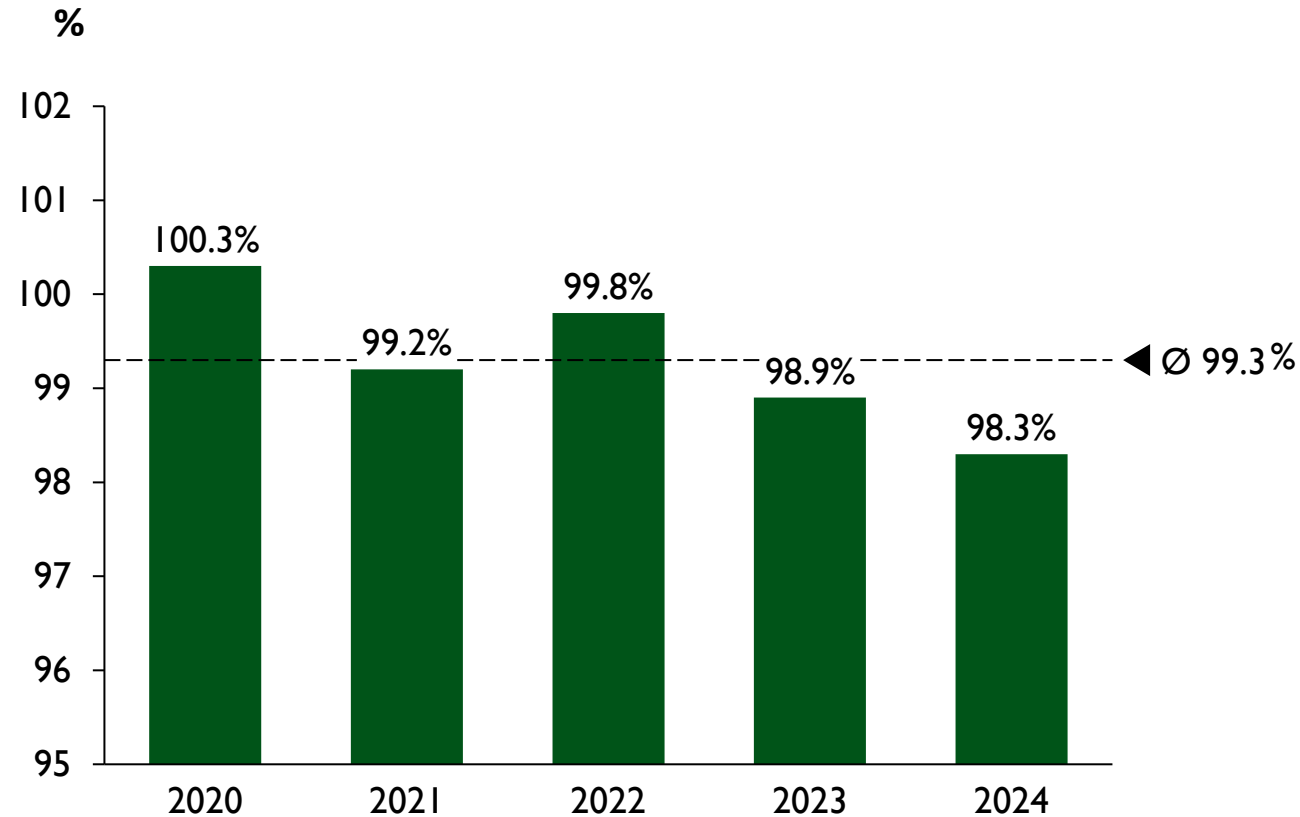


- Loss-reduction positively impacted by enhanced field activities, new customer connections and improved supply reliability.
- Losses remain critical for financial sustainability of the sector



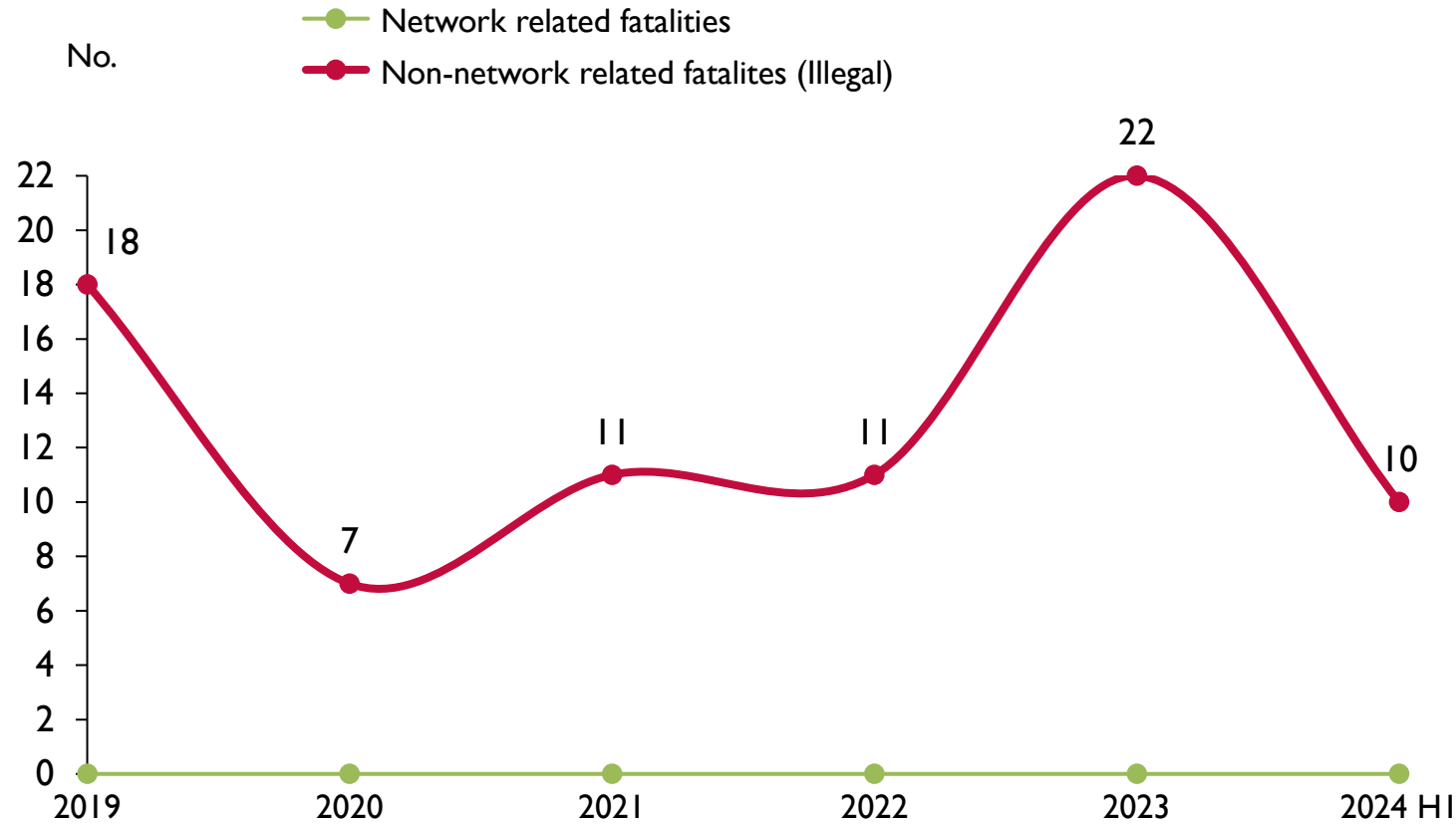
Distribution Efficiency - Revenue Collections

Half Year Revenue Collections (%)



- The gap in collection attributed the lag in GoU entities collections. Company is engaging Government Ministries, Departments and Agencies to recover outstanding arrears that have increased over the last 12 months.
- Receivables from government at end of June 2024 UGX 82 billion.
- Excluding Government, the collection rate was 100.9%, thus containing arrears growth.

Safety



- We recorded 10 fatal accidents attributed mainly to network interferences and illegal operations by unauthorized people.
- We are continuing with our public awareness initiatives and programs aimed at responsible use of electricity and on how to mitigate related risks



Systems



- UCIS (Yaka Management System)
- GNIS, SCADA,OMS
- Billing and Yaka – TID Rollover
- Call center management
- HR Connect
- EDRIMS
- Fleet management system

People



Financial Overview (UShs bn)

Income Statement	HI 2024	HI 2023	%ch
Revenue	1,151.80	1075.7	7.1%
Cost of Sales	(742.1)	(719.8)	3.1%
Gross Profit	409.7	355.9	15.1%
Operating Expenses	(145.9)	-111.9	30.4%
EBITDA	262.7	244	7.6%
Amortization	238.3	210.2	13.4%
Finance Costs (ex. lease)	(16.4)	(25.6)	-35.9%
PBT	23.6	16.7	41.3%
Profit After Tax	13.0	13.2	0.0%
Financial Position at	HI 2024	FY 2023	
Total Assets	2243.4	2,347.2	-4.4%
Shareholders Equity	802.6	937.4	-14.4%
Net Debt	37.8	48.4	-21%
Operating cashflow	112.1	221.3	-49.3%

- Revenues increased by 7.1% to Ushs 1,152 billion due to increased electricity sales volume, underlying tariffs and provision of construction services.
- EBITDA increased by 7.6% to Ushs 263 billion due to a 15.1% increase in gross profit and slightly lower operating costs
- The amortization charge of Ushs 238 billion compared to Ushs 210 billion for 2023 due to alignment of asset amortization to the remaining period of the contract term.
- PAT remained at the same level as 2023 at Ushs 13 billion due to accelerated amortization of intangible assets.

Financial Overview (\$m)

Income Statement	HI 2024	HI 2023	%ch
Revenue	300.8	289	4.1%
Cost of Sales	(193.8)	(193.4)	0.2%
Gross Profit	107	95.6	11.9%
Operating Expenses	(38.1)	(30.1)	26.6%
EBITDA	68.6	65.6	4.6%
Amortization	62.2	56.5	10.1%
Finance Costs (ex. lease)	(4.3)	(6.9)	37.7%
PBT	5.0	3.6	39.8%
Profit After Tax	2.3	2.6	-12.8%
Financial Position at	HI 2024	FY 2023	%ch
Total Assets	604.4	619.8	-2%
Shareholders Equity	216.2	247.5	-13%
Net Debt	10.1	12.8	-22%
Operating cashflow	29.3	59.4	-51%

- Revenue increased to \$301m due to increased electricity sales volume, underlying tariffs and provision of construction services.
- EBITDA increased by 4.6% to \$68.6m due to the increase in gross profit and slightly lower operating costs.
- The amortization charge for the period increased to \$ 62m compared to \$56.5m for 2023 due to alignment of asset amortization to the remaining period of the contract term.

Natural End of the Concession – Process Updates

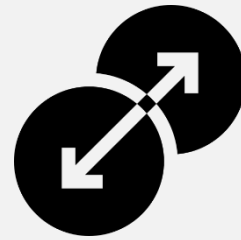
- Audit of the LA&A by the Auditor General has commenced
 - Draft final report on the Buy Out Amount expected by year end
 - The buyout amount will continue to vary with the final determination expected by end of February 2025, and payment expected by 30th March 2025.
 - Cash payment of buyout with a 5% return within 30 days of the end of the concession
- Beyond 30 days, interest charged on buy out amount as below:
 - 10% p.a. 30 – 45 days after concession termination date,
 - 15% p.a. 46 to 90 days after concession termination date,
 - 20% p.a. after 90 days until buyout is paid in full.
 - Coordination with GoU entities on the assets retransfer process

2024 – 2025 Focus Areas



Deliver on Performance

- Shareholder Value
- Service
- Network performance
- Regulatory outcomes



Manage the Transition

- Coordination with GOU
- People
- Assets and systems
- Service continuity
- Legal and Regulatory Compliance
- Risk Management



Secure the Buyout Amount

- Audit process
- Payment
- Retransfer of distribution system on payment



Post Concession Considerations

- Governance
- Future options analysis
- Shareholder AGM/ EGM

Investor Relations Calendar



OCT 2024						
S	M	T	W	T	F	S
		1	2	3	4	5
6	7	8	9	10	11	12
13	14	15	16	17	18	19
20	21	22	23	24	25	26
27	28	29	30	31		

October 9 - Independence Day

10th October 2024:
Dividend Book Closure Date

31st October:
Dividend Payment Date

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School Safety Clubs



Youth Skilling



Community Donations

CSR

Corporate Social Responsibility



Health Camps



Cure Run



Swimming Competition



U-green



Community engagements

Question & Answer